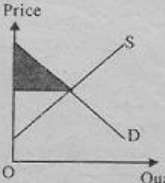
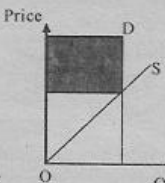
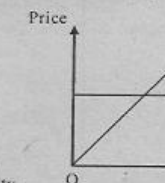


Question No.	Answer No.	Explanation of the reason
1	(5)	Normative statements are value judgements that is subjective and cannot proved to be correct or wrong scientifically
2	(1)	As the economy is fully employed currently, it has to sacrifice to increase capital investment. Therefore, consumption is the next best alternative foregone.
3	(2)	Transition economies are the economies that give up their planning mechanism due to the shortcomings experienced in the past and adopt price mechanism to solve the basic economic problems.
4	(3)	The basic economic problems in a centrally planned economy are solved by the government planners with private ownership of resources.
5	(5)	The price consumers are willing to pay for a good is represented by the demand curve. The total amount is the area between price axis, demand curve and the equilibrium quantity.
6	(5)	Country X Consumer $\frac{200}{100} = 2$ Country Y $\frac{100}{200} = 0.5$
7	(5)	The lower and positive XED value shows the greatest market power because it has less or distant substitutes. Hence it does not have to take the price.
8	(4)	When demand is elastic the relationship between the total revenue of the firm and price is inverse.
9	(3)	The income elasticity of demand for inferior goods is negative and price elasticity of demand is also negative.
10	(2)	The price of a good changes along with the change in demand. Eg: The demand increases as a result price increases and vice versa. But the change in quantity depends on the magnitude of the change in demand and supply.
11	(4)	When demand is price inelastic the proportionate change in quantity demanded is less than that in price.
12	(2)	Due to subsidies the demand rises. Subsequently the price of day care rises
13	(1)	 Quantity  Quantity  Quantity Infinite Consumer Surplus Zero Consumer Surplus
14	(1)	When the maximum price is removed, the price and quantity is determined by price mechanism.
15	(3)	Marginal and average product curves are images of marginal and average variable cost curves.

Question No.	Answer No.	Explanation of the reason
16	(3)	No. of workers $\times$ daily wage rate = Total variable cost $100 \times 600 = 60,000$ $101 \times 650 = 65,650$ $MC = 65,650 - 60,000 = 5,650$
17	(2)	Accounting Cost = 150,000 = 80,000 = 30,000 = 20,000 = 25,000 <u>305,000</u> Economic Cost = 305,000 40,000 <u>15,000</u> <u>360,000</u>
18	(2)	Labour productivity of firm A = $\frac{5000}{250} = 20$ $\frac{4800}{200} = 24$ Labour productivity of firm B = $\frac{2000}{800} = 2.5$ $\frac{2200}{1000} = 2.2$
19	(5)	Each individual firm is facing a downward sloping demand curve due to asymmetric information.
20	(5)	Since the marginal cost is equal to marginal revenue and average variable cost is less than average revenue it maintains its output in the short run.
21	(4)	Only the productive and bilateral economic activities that take place within a given period of time are calculated under national accounting.
22	(4)	0.8 yd. $0.8 \times 1200 = 960$
23	(5)	$K_G = \frac{1}{m_{gx}} = \frac{1}{0.25} = 4$ $\Delta y = K \times \Delta G$ $= 4 \times 80$ $= \underline{320}$
24	(1)	$Y = C + I$ $300 = 30 + 0.7 \times 300 + I$ $300 = 30 + 210 + I$ $\underline{I = 60}$
25	(2)	The output gap is the difference between actual and potential output level.
26	(3)	$GDE = C + I + G$ $GDP = C + I + G + NX$ If NX is negative only, GDE, is greater than GDP

Question No.	Answer No.	Explanation of the reason				
27	(4)	$K = \frac{1}{10\%} = 10$ Total deposits = $10,000 \times 10 = 100,000$ Required reserves = $100,000 \times \frac{10}{100} = 10,000$ Maximum loans $100,000 - 10,000 = 90,000$				
28	(3)	When the real income increases, private consumption expenditure rises. When the price level increases savings will decrease. As a result more money is demanded. When interest rates fall savings are discouraged.				
29	(5)	Monetary policy is expansionary when the money supply is raised and interest rates are reduced. Fiscal policy is contractionary when government spending is reduced and increase in taxes.				
30	(3)	If the economy experiences a recession, the aggregate demand should be encouraged.				
31	(4)	$MV = PT$ If T (Volume of output) rises by 2% the money supply (M) rises by 5% along with constant velocity of circulation of money. $\begin{array}{ccc} 5\% & & 2\% \\ MV & = & PT \end{array}$ Nominal output is PT				
32	(1)	Nominal value of GDP falls due to the reduction of aggregate demand.				
33	(1)	A reduction in road accidents is an indirect benefit due to the construction of new railway.				
34	(2)	A merit good is purchased too little due to the lack of information on the part of consumers.				
35	(2)	If a tax is regressive in nature, a smaller proportion of their income should be paid as taxes by the high income earners.				
36	(3)	Opportunity good <table><tr><td>Country A</td><td>2</td></tr><tr><td>Country B</td><td>1.3</td></tr></table> Exchange rate should be between 1.3 and 2 units of good Y for one unit of good X	Country A	2	Country B	1.3
Country A	2					
Country B	1.3					
37	(3)	It is a visible item in trade balance in the current account. Sri Lanka should receive payments for it from the UK.				
38	(3)	The overall balance of Bop is calculated by adjusting CAB, Capital and financial account balance, errors and omissions.				

Question No.	Answer No.	Explanation of the reason
39	(3)	Terms of trade = $\frac{\text{Export price index}}{\text{import price index}} \times 100\%$ 150 = $\frac{120}{M} \times 100\%$ M = $\frac{4}{120} \times \frac{20}{100} \times 100\% = 80\%$ The initial import price index is 100
40	(4)	Rs. $\frac{9600}{120}$ = Rs.80 per dollar
41	(4)	In latter years profits and dividends flow to other countries and it is recorded in income account.
42	(2)	When the economic growth is low per capita income is also low.
43	(2)	Main determinants of economic growth are resource endowment and productivity.
44	(2)	Net capital formation should be positive for economic growth.
45	(1)	Supply side policies are policies that are designed to reduce the cost of production.
46	(2)	The lower income groups receive less percentage of total income while the higher income groups receive higher share of total income.
47	(1)	Development is not only the qualitative and quantitative improvement in all lives of the general public.
48	(2)	Foreign aids are given with some terms and conditions. But development should be achieved from production and productivity.
49	(1)	Unemployment rate = $\frac{\text{Unemployed Population}}{\text{Unemployed} + \text{Employed}} \times 100\%$ LFPR = $\frac{\text{Employed}}{\text{Population 10 years and over}} \times 100\%$
50	(2)	Economically active population (labour force) is the sum of employment and unemployment.

Economics II - Model Answers**Sub Section A**

1. (i)
- Capital is a produced factor of production. They are real assets such as factories, equipments, stock of raw materials etc.
 - Human capital refers to the stock of competencies knowledge and social and personality attributes acquired through education and training by individual workers is called human capital..
 - Human capital is less tangible than physical capital.
 - Human capital has characteristics of both labour and capital.
 - Unlike in investment in other forms of capital, investment in human is tied to a specific person.
- (ii)
- Specialization and division of labour must be accompanied by trade people who produce only one thing must trade most of it in order to obtain all the other things that they acquire.
 - In the past free market economies used the barter, the trading of goods directly for other goods. But barter is costly in terms of time spent searching out satisfactory exchanges. With the barter, there will be less specialization because of the difficulty of overcoming the double coincidence of wants.
 - To avoid its cumbersome nature, money evolved. Money eliminates the barter by separating transactions.
 - If a farmer has paddy and wants cloth, he does not have to find someone who has cloth who wants paddy. They merely have to find someone who had cloth who wants paddy. They merely have to find someone who wants paddy.
 - The farmer takes the money in exchange then finds another person who wishes to sell cloth and then gives up money for cloth. Money becomes the medium of exchange.
- (iii) **Market Economic System.**
- The private ownership of resources and the use of markets and prices to coordinate and direct economic activity characterize the market economy.
 - In that system each participant acts in his or her own self-interest; each individual or business seeks to maximize its satisfaction or profit through its own decisions regarding consumption or production.
 - Goods and services are produced and resources are supplied by whoever is willing and able to do so.
 - The result is competition among independently acting buyers and sellers of each product and resource. Thus, economic decision making is widely dispersed.
 - Government's role would be limited to protecting private property rights.

Command Economic System

- In the Command Economic System, government owns most property resources and economic decision-making occurs through a central economic plan. A central planning authority appointed by the government makes all the major decisions, concerning the use of resources, the composition and distribution of output, and the organization of production.
- The Government owns all the business firms which produce according to government directives.
- A central planning authority determines production goals for each enterprise and specifies the amount of resources to be allocated to each enterprise so that it can reach its production goals.
- The division of output between Capital and Consumer goods is centrally decided and capital goods are allocated among industries on the basis of central planning authority's long term priorities.

Alternative answer**Market Economic System.**

- ★ Three fundamental economic questions (what, how and for whom) are solved through price mechanism. Those goods and services that can be produced at a profit will be produced and those whose production entails a loss will not. The decisions will be made on the basis of price signals coming from the goods market and factor market.
- ★ In a market system producers will employ the most efficient techniques of production based on the available technology and the prices of resources they use.
- ★ Individual incomes are determined by the quantity of resources owned by individuals and the prices of the resources. Factor prices are determined by the interaction of supply and demand in the factor market.

Command economy

- ★ In a command economy allocation of resources is done by a decree issued by the central planning authority. In this case, they set the prices of goods and leave individuals to buy what they wish at the state controlled prices.
- ★ Methods of production are selected by the central planning authority. The distribution of products and of incomes is largely set centrally. The government decides wage rates and prices of goods and services.

(iv) The conditions should be satisfied.

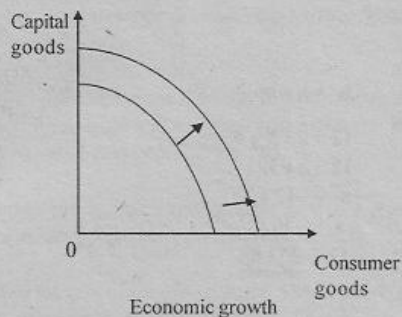
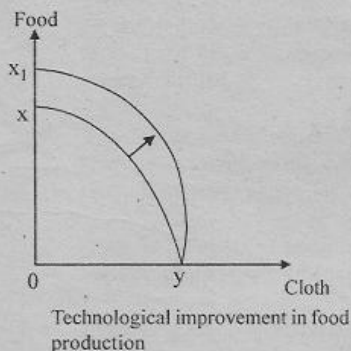
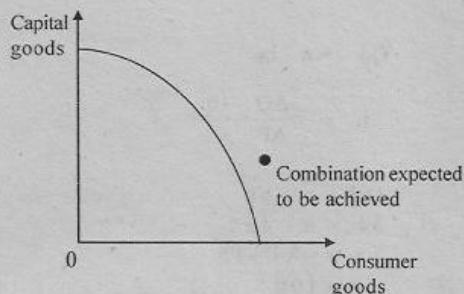
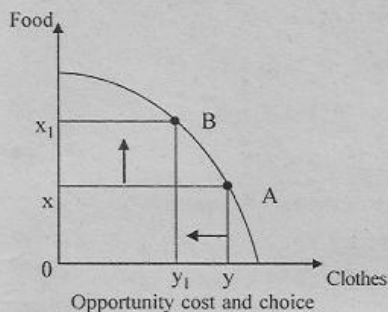
1. Productive efficiency
 2. Allocative efficiency
- Productive efficiency - production efficiency is the production of any particular mix of goods and services in the least costly way. (Maximum output per unit of input or minimum amount of inputs per unit of output)
 - To achieve this it must realize both full employment and full production.
 - Allocative efficiency means that resources are allocated to produce goods and services most wanted by society.
 - This situation is achieved when the marginal cost of producing each good is equal to its price - $MC=P$

(v) **Micro economic applications.**

1. Problem of scarcity
2. Choice of different combinations of goods
3. Opportunity cost and choice
4. Impact of technology change

Macro economic applications.

1. Economic growth
2. Full employment and under employment
3. Economic recession and declines
4. Effects of economic sanctions.

2. (i) **Signalling function (information function)**

- Relative prices provide the essential information to consumers, producers and resource owners in a market system in order to decide whether what, and how much to buy. Markets will function inefficiently in prices signal wrong or misleading information, leading to market failures.
- Prices are the market's way of rationing limited resources, goods and services to those most willing and able to buy. Conversely, lower price, the more people will be willing and able to buy. When consumers and firms respond to the price signals scarce resources are rationed between competing uses. Prices are functioning as an allocative mechanism.

- (ii)
- prices of resources used to produce the product
 - technology
 - taxes and subsidies
 - prices of related goods produced
 - expectations
 - number of suppliers

(iii)	P	Qd	Qs
	4	84	12
	8	68	44

$$Q_d = a - bp$$

$$b = \frac{\Delta Q}{\Delta P} = \frac{16}{-4} = -4$$

$$Q_d = a - bp$$

$$84 = a - 4 \times 4$$

$$-a = -84 - 16$$

$$a = 100$$

$$Q_d = \underline{100 - 4p}$$

$$Q_s = a + bp$$

$$12 = a + 8 \times 4$$

$$12 = a + 32$$

$$-a = -12 + 32$$

$$a = -20$$

$$\therefore Q_s = \underline{-20 + 8p}$$

$$b = \frac{\Delta Q_s}{\Delta p} = \frac{-32}{-4} = 8$$

- (iv) Equilibrium price and quantity

$Q_d = Q_s$ at the equilibrium

$$100 - 4p = -20 + 8p$$

$$-4p - 8p = -20 - 100$$

$$-12p = -120$$

$$p = 10$$

$$Q_d = 100 - 4 \times 10$$

$$= \underline{\underline{60}}$$

(v) After tax

$$Q_d = 100 - 4P_b$$

$$Q_s = -20 + 8P_s$$

 P_b = buyer's price P_s = seller's net price

$$100 - 4(P_s + t) = -20 + 8P_s$$

$$100 - 4(P_s + 3) = -20 + 8P_s$$

$$100 - 4P_s - 12 = -20 + 8P_s$$

$$100 - 12 + 20 = 8P_s + 4P_s$$

$$108 = 12P_s$$

$$\underline{P_s = 9}$$

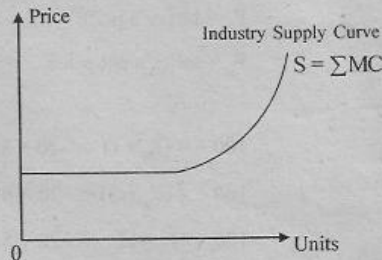
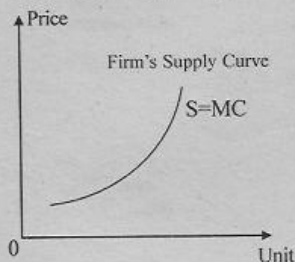
Tax revenue = Quantity sold after tax $\times$ unit tax

$$Q_s = -12 + 8 \times 9 = 52$$

$$\text{Tax revenue} = 52 \times 3 = 156$$

3. (i)
- The cost of a firm depends on the technology used for the production of goods. According to the law of diminishing marginal returns, as successive units of a variable resource are added to the fixed resources, marginal product and average product rise and marginal cost and average cost fall.
 - Then, at the point of maximum marginal product marginal cost is at a minimum. As variable input increases further marginal product diminishes and marginal cost increases. But average product continues to rise and average variable cost continues to fall.
 - Then, at the point of maximum average product average variable cost is a minimum. As variable input increase further, average product diminishes and average variable cost increases.
 - In the long run, production is subject to the law of returns to scale. The U-shape of the long run average total cost curve is due to economies and diseconomies of scale.
 - Economies of scale result when increases in output lead to decreases in unit costs and the quantities of all resources are variable.
 - Diseconomies of scale result when increases in output lead to increases in unit costs and the quantities of all resources are variable. Constant returns to scale occurs when increases in output lead to no change in unit costs and the quantities of all resources are variable.
- (ii)
- A perfectly competitive firm supplies the quantity that maximizes profit or minimizes loss. This is done by equating marginal revenue and marginal cost. Therefore, the firm's supply curve is the same as the marginal cost curve above minimum average variable cost (AVC)

- The industry supply curve shows the quantity supplied by the industry at each price when the plant size of each firm and the number of firms remain constant. The quantity supplied by the industry at the given price is the sum of the quantities supplied by all firms in the industry at that price. Hence, if we add the marginal cost curves above minimum AVC, of individual firms horizontally, we get the Industry Supply Curve.



- (iii)
- In perfect competition, a firm is a price taker. This follows from the fact that the product is homogeneous, it produces a tiny proportion of the total output of the particular product and buyers are well informed about the prices of other firms.
 - The graphical expression of the demand curve for a firm which is a price-taker, is a horizontal straight line drawn at the going market price. Horizontal demand curve is perfectly elastic. The firm can sell any quantity it chooses at the market price.
 - The industry demand curve is down-ward sloping and not perfectly elastic. The product of an individual firm is a perfect substitute for product from any other firm in the industry. Hence, demand is perfectly elastic. But the elasticity of a downward sloping demand curve depends on the substitutability of the particular product for other goods and services.
- (iv)
- The firm should continue to stay in business in the short run. Because if it decides to shut down the plant, the total loss will be equal to the total fixed cost which is Rs. 40 mn.
 - If it continues to operate the plant, total loss will be equal to the difference between total revenue (Rs. 100 mn) and total cost (Rs. 120 mn.) which is equal to Rs. 20 mn. Therefore, the total loss can be minimized by operating the plant in the short run instead of shutting down.
- (v)
- If marginal revenue exceeds marginal cost (If $MR > MC$) then the extra revenue from selling one more unit exceeds the extra cost incurred to produce it. The firm makes an economic profit on the marginal unit, so its economic profit increases if output increases.
 - If marginal revenue is less than marginal cost (If $MR < MC$), then, the extra revenue from selling one more unit, is less than the extra cost incurred to produce it. The firm incurs an economic loss on the marginal unit, so its economic profit decreases, if output increases and economic profit increases if output decreases.
 - If marginal revenue equals marginal cost (If $MR = MC$), economic profit is maximised.
 - The $MR = MC$ rule can be conveniently restated in a slightly different form when being applied to a perfectly competitive firm. The competitive firm can sell as much as it chooses at the prevailing market price. It faces a perfectly elastic demand curve. The result is that product price and marginal revenue are equal, that is each extra unit sold adds precisely its price to total revenue. Thus under perfect competition, we may substitute price for marginal revenue in the $MR = MC$ rule.

4. (i) Change in inventories of a firm consists of
- Stocks of materials that firms held for use in further production
 - Stocks of Semi-finished goods in the process of production.
 - Stocks of finished goods ready for sale but not yet sold.
- GDP is designed to measure total current output. Therefore, we must certainly make an effort to include in GDP any products which are produced but not sold this year. If GDP is to be an accurate measure of total production, it must include the market value of any additions to inventories which accrue during the year. In the expenditure approach to GDP, we include change in inventories as a component in investment spending.
- (ii)
- Interest payments on government debts are considered as transfer payments for the purpose of national accounting. GDP includes only spending on goods and services and excludes transfer payments.
 - This is a return on debt incurred to pay for past government programmes and is not a payment for current government goods and services. Therefore the interests are excluded from GDP calculations. However, interest incomes, received from the government are included in the calculation of personal income.
- (iii) National income is defined as $Y = E (=C+I+G+NX)$
- If the spending on consumption investment and government purchases is greater than national income then net exports must be negative.
- $Y < (C+I+G)$, then the trade deficit $(X-M)$ must be negative.
- (iv) (a) Government purchases (G)
- $$\text{Taxes (T)} = y - y_d = 5200 - 4400 = 800$$
- $$\text{Budget deficit (G - T)} = 150$$
- $$G - T = 150$$
- $$G - 800 = 150$$
- $$\text{Therefore } G = 150 + 800 = \underline{950}$$
- (b) Savings (S)
- $$\text{Savings} = \text{disposable income} - \text{private consumption}$$
- $$S = y_d - C$$
- $$S = 4400 - 4100$$
- $$S = \underline{300}$$
- (c) Investment (I)
- $$Y = C + I + G + N_x$$
- $$5200 = 4100 + I + 950 + (-110)$$
- $$I = 5200 - 4940 = \underline{260}$$
- (v)
- The underground economy consists of economic activity that avoid official detection and measurement. The activities are either inherently illegal or not reported to avoid taxes, or detection by the authorities or for other reasons.

- Examples of the former include illegal drug trafficking book marking and prostitution. Examples of the latter include the non-declaration of receipts by owners or managers of restaurants, bars, and various retail establishments, the failure to report incomes of tips, casual or part time work, particularly by people who would lose such benefits as welfare payments (Samurdhi)

In order to reduce the size of the underground economy

- ★ to reduce taxes
- ★ making the tax system more equitable
- ★ devoting more resources to law enforcement
- ★ increasing the penalties for participating in the underground economy.
- ★ good governance

5. (i)
- Investment has a multiplier effect on output. When investment changes, output will at first rise by an equal amount. But as the income receivers in the capital goods industries get more income they set into motion a whole chain of additional secondary consumption spending. This surprising result is called multiplier effect or more simply the multiplier.
 - Investment multiplier is defined as the ratio of the range in national income to initial change in planned investment expenditure which causes that change in real output.

$$\text{Investment multiplier} = \frac{\text{Change in real GDP}}{\text{Change in investment}}$$

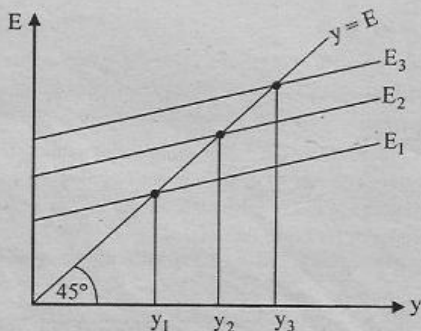
$$K = \frac{\Delta y}{\Delta I}$$

- The size of the multiplier depends on how large the marginal propensity to consume (MPC) is. It can also be expressed in terms of marginal propensity to save (MPS).

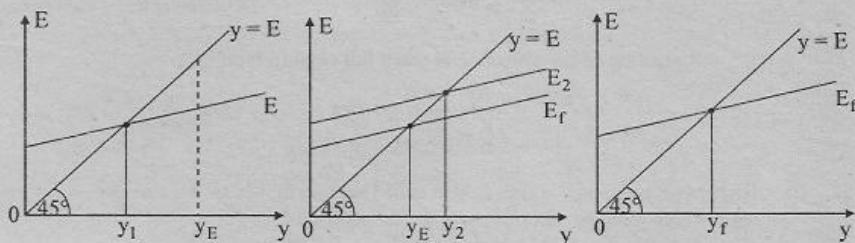
The investment multiplier formula is

$$K = \frac{1}{1-MPC} \quad \text{or} \quad k = \frac{1}{MPS}$$

- (ii)
- Inflationary gap is the amount by which an economy's aggregate expenditures at the full employment GDP exceed, those just necessary to achieve the full employment GDP.
 - The recessionary gap is the amount by which aggregate expenditure of the full employment GDP fall short of those required to achieve the full employment GDP.
 - The effect of the of the inflationary gap - excessive spending is that it will pull up output prices. Since business cannot respond to excessive spending by expanding their real output demand pull inflation will occur. National GDP will rise because of higher price level, but real GDP will not.
 - The effect of recessionary gap - deficiency of spending is that it will contract or depress the economy resulting unemployment and fall in real output.



- (iii) • National income is said to be in equilibrium when there is no tendency for it either to increase or to decrease.
- The particular value of national income that exists in equilibrium is called the equilibrium national income. The requirement that must hold if equilibrium to be established takes two alternative forms. Desired spending equals actual output. $Y = E$. The leakages equal injections, $W = J$. When this equilibrium condition is satisfied, economy can be in equilibrium with either inflation or unemployment or neither as shown below:



y_f = full employment income level

(iv) (a) Government spending multiplier $K_G = \frac{1}{1 - MPC}$

$$K_G = \frac{1}{1 - 0.8}$$

$$= \frac{1}{0.2} = 5$$

Tax multiplier $K_T = \frac{-MPC}{1 - MPC}$

$$= \frac{-0.8}{1 - 0.8} = \frac{-0.8}{0.2} = -4$$

(b) Equilibrium national income

$$\begin{aligned}
 y &= E \\
 &= C + I + G \\
 &= 25 + 0.8y_d + 100 + 75 \\
 &= 200 + 0.8(y - T) \\
 &= 200 + 0.8(y - 100) \\
 &= 200 + 0.8y - 80 \\
 y &= 120 + 0.8y \\
 y - 0.8y &= 120 \\
 0.2y &= 120 \\
 y &= \frac{120}{0.2} = \frac{1200}{2} = 600
 \end{aligned}$$

$$\Delta G = \frac{400}{5} = 80 \quad \Delta T = \frac{400}{-4} = -100$$

Output gap = full employment income level - Current income level

$$y_f - y$$

$$\Delta y = 1000 - 600 = \underline{400}$$

Government spending required to reach full employment

$$\frac{\Delta y}{KG} = \frac{400}{5} = \underline{80}$$

Reduction of tax collection to reach full employment

$$\frac{\Delta y}{K_T} = \frac{400}{-4} = -\underline{100}$$

6. (i) High powered money which is also called reserve money or base money is the monetary base upon which a bigger stock of monetary assets is built.

$$M = mH$$

M - Money Supply

m = Money multiplier

H = High powered money

High powered money consists of

1. Currency held by the public and Commercial Banks.
2. Deposits held by the Commercial Banks with the Central Bank.

There are two channels of releasing high powered money from the Central Bank to the economy. One mechanism is acquiring domestic assets through lending to the government and/or Commercial Banks. Borrowing from the Central Bank activates, the outflow of currency notes and coins from the Central Bank vaults. Once the government uses them for payments with respect to its expenses, they become assets of the general public and the banking system.

Similarly, high powered money expands when Commercial Banks borrow from the Central Bank or sell domestic assets in their portfolio, such as treasury bills to the Central Bank.

The other channel is the Central Bank transactions in the foreign exchange market. When the Central Bank purchases foreign exchange from the government or Commercial Banks it pays in rupee currency notes and coins expanding high powered money.

(ii) **Determinants of money supply**

• **Factors affecting high powered money**

- ★ Lending to the government by the Central Bank.
- ★ Lending to the Commercial Banks by the Central Bank
- ★ Repo and reverse repo agreements with Commercial Banks
- ★ Buying and selling of foreign exchange by the Central Bank (external assets)
- ★ Other net assets of the Central Bank
- ★ Transfer of Central Bank's profit to the government.

• **Factors affecting the size of the money multiplier**

- ★ peoples' preference to use currency for transactions (currency - deposit ratio)
- ★ statutory reserve ratio
- ★ excess reserves

- (iii) • Banking Sector
- ★ Central Bank
 - ★ Licensed Commercial Banks
 - ★ Licensed Specialised Banks
 - Other deposit taking financial institutions
 - Specialised financial institutions
 - Contractual savings institutions

(iv) (a) **Money multiplier**

- ★ Money Supply (M) = Currency (Cu)+deposits (D)
- ★ $CU = M - D = 1200 - 800 = 400$

If banks do not hold excess reserves, then

Reserve assets (R) = $(0.1) D = 0.1 \times 800 = 80$ and

high powered money (H) = $CU + R = 400 + 80 = 480$

Money multiplier $M/H = m = 1200/480 = \underline{2.5}$

- (b) If the Central Bank purchases Rs. 3 billion worth treasury bills from the Commercial Banks then the maximum increase in money supply is Rs. 7.5 billion.

(v) **The quantity theory of money**

- The quantity theory of money predicts that the general price level is positively related to the quantity of money in such a way that changes in the quantity of money cause proportionate changes in the price level. Thus, for example a doubling of the quantity of money would lead to a doubling of the price level.
- The quantity theory of money uses the so called equation of exchange to relate changes in money supply to changes in price levels. The equation of exchange can be written as follows.
 $MV = PY$

Although, this is called an equation, it is in fact a definitional identity which means something which is true simply by virtue of how the terms are defined. However, this equation can be transformed into a theory of price determination (quantity theory of money) by making certain assumptions regarding the behaviour of some variables in the equation. Two assumptions are made

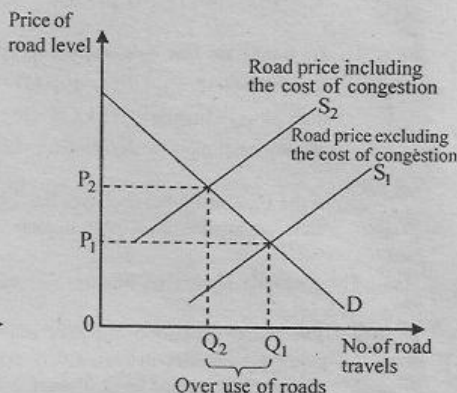
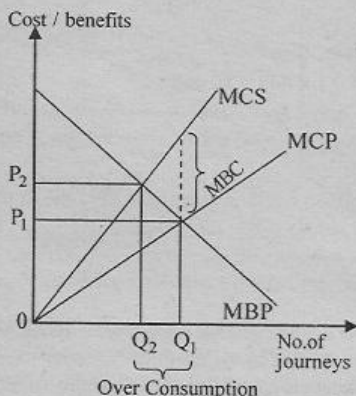
- i. The velocity of money (V) is relatively stable
- ii. Physical volume of output (Y) is fixed as the economy is at full employment.

When V and Y variables in the equation of exchange are fixed, there will be a direct positive relationship between M and P.

7. (i) • Market power
- Non-provision of public goods
 - Existence of externalities in production and consumption
 - Over-use of common resources
 - Imperfect information
 - Factor immobility
 - Missing markets
 - Unequal income distribution

- (ii) • This is a case of negative externality in consumption.
- The motorists who use public roads frequently cause traffic congestions which are considered as external costs in consumption.
 - When there are negative externalities in consumption social benefits are less than private benefits. However, private sector decisions are taken only the private benefits are taken into account. Hence consumption of such goods lead to a socially undesirable level of consumption.

(Over consumption)



- (iii) • To make laws and agreements relevant to the protection of private property and life.
 • To improve economic efficiency by addressing the various causes of market failure.
 • To protect the environment.
 • To strengthen the economic growth.
 • To stabilize the economy by preventing income and price fluctuations.
 • To create equity to the level people can accept.
- (iv) • equality • certainty • convenience
 • economy • flexibility • simplicity
- (v) • progressive taxation
 • social safety nets
 • spending on education, health, housing
 • reducing opportunities for tax evasion and avoidance
 • pro-poor growth strategies

8. (i) Numerical example:

Output per worker per day		
Commodity	USA	India
Wheat	8	4
Cloth	4	3

- One country is said to have absolute advantage over the second country in production of a commodity, say wheat, if the first country can produce more wheat using a given quantity of inputs than the other.
- In the example given above, the United States has an absolute advantage - greater productivity in producing both wheat and cloth. One worker can produce more of either goods in the USA than in India.

- One country has a comparative advantage over another in the production of one commodity if its opportunity cost of producing that country is less than another's
- In the above example, US has a comparative advantage in the production of wheat. The US opportunity cost of producing 1 unit of wheat is 1/2 unit of cloth, the Indian opportunity cost is 1/4 unit of cloth.
- (ii)
 - factor abundance
 - economies of scale
 - location
 - product life cycles
 - government policies
 - productivity differences
 - technological changes and innovations
 - preferences
- (iii)
 - Since the World War II barriers to international trade have been reduced significantly in reducing these barriers, countries have taken two approaches.
 - (a) Trade negotiations on a global basis
 - (b) Formation of regional trading blocks
 - Since the World War II, eight rounds of international trade negotiations have been conducted under GATT. Each of these rounds resulted in reduction in tariff rates. The Uruguay Round negotiations started in 1986 and conducted in 1993. It was more comprehensive than past agreements and covers trade in services as well as trade in goods. It also covers trade-related intellectual property rights and trade-related investment. Under this agreement many tariffs and non tariff barriers will be reduced or eliminated.
 - Rather than relying entirely on the global approach many countries have formed regional trading blocks. They have agreed to reduce or eliminate trade barriers among themselves while maintaining barriers against countries outside the block. i.e NAFTA, EU and SAPTA.
 - Formation of regional trading agreements are relatively easy as compared to global agreements which take many years to reach an agreement. It is easier for a small group of neighbouring countries with similar concerns and cultures to agree on market opening in a particular area than to reach agreements in a wider forum such as WTO.
 - They can also offer new approaches to rule making and so act as stepping stones to a global level agreements.
 - Regional agreements make it harder for countries outside the region to trade with those inside and may discourage further opening up of markets ultimately limiting growth prospects for all. Moreover broad-based multilateral agreements with more players and more sectors will offer greater potential for mutual gain than limited bilateral or regional deals.
- (iv) **Advantages**
 - As there is an automatic adjustment mechanism in balance of payments under a freely fluctuating exchange rate system; the authorities can pursue independent domestic policies to achieve internal economic objectives; monetary policy can be completely independent of external influences.
 - Country has no need to hold large official reserves of foreign currencies. Resources which would be otherwise tied up in the reserves can be used more productively elsewhere.
 - Correctly valued exchange rates are necessary if the world resources are to be efficiently allocated between competing uses.

Disadvantages

- Floating exchange rates increase business uncertainty and lead to less specialization, trade and investment than would otherwise take place.
- Floating exchange rate promotes an increase in currency speculation with all its destabilizing effects.
- In a floating exchange rate system, no such discipline exists to make a country to reduce its inflation rate.

(v)

Year	Cost of imports (\$ million)	Export Earnings (\$ million)
2008	14091	8,111
2009	10207	7,085
2010	13451	8,626
2011	20696	10,559
2012	19183	9,773

There are several reasons for the large deficit in trade balance,

- The slow growth in export earnings as compared to the rapid increase in the cost of imports; in 2011, cost of imports increased by 51% as compared to 2010, but export earnings increased only by 22%
- The demand for Sri Lankan exports has been discouraged mainly due to global recession.
- One of the main reasons for the rapid increase in the cost of imports was the increase in the volume of imported capital goods owing to heavy public investment programmes on infrastructure development.
- The sluggish growth in export earnings is partly due to the lack of diversification in the country's export structure.

9. (i) Economic growth is the sustained increase in the productive capacity (potential output) of the economy.

- Economic growth is a narrower concept than development. It is an increase in a country's real level of national output which can be caused by an increase in the quality of resources, increase in the quantity of resources and improvement in technology. Economic growth can be measured by an increase in a country's GDP.
- Accordingly development is a multi-faceted concept. It has many indices to measure it even quantitatively. This is necessarily a composite index.
- Economic growth does not take into account the depletion of natural resources, which might lead to pollution congestion and diseases. Development however is concerned with sustainability which means meeting the needs of the present without compromising the future needs.

(ii) **Determinants of productivity:**

- labour quality - Education, vocational training, experience,
- technology
- innovations - research and development
- capital investment
- financial market development
- natural resources
- infrastructure
- regulations

- (iii) • Sri Lanka has the highest level of human development among the eight SAARC countries. The 2013 Human Development Report shows that with an HDI of 0.715 in 2012, Sri Lanka ranked 92 out of 187 countries.
- Sri Lanka has already achieved the MDG on poverty, well before 2015 deadline. Based on the national poverty line, the incidence has declined from 26.1% in 1990/91 to 8.9% in 2009/10.
 - Despite these national level achievements, there are significant disparities across provinces, districts and sectors.
 - Regional differences in poverty is still prevalent in some districts, specially those affected by conflict or with large estate population despite the overall national decline. In the Batticaloa district, poverty has increased from 10.7% in 2006/7 to 20.3 in 2009/10, poverty in Ampara district rose from 10.9% in 2006/7 to 11.8% in 2009/10.
 - As usual, the Western Province is contributing around 44% to GDP but contrary to that the Northern Province is contributing only 4% and Uva Province contribution to GDP is also very low at 5% followed by North Central.
 - There are significant differences in infrastructure facilities, in the estate sector 23% of the households do not have access to electricity and 40% of the households do not get safe drinking water.
 - The disparity in access to upper secondary education was greater on estates where only 54% of children were enrolled, compared to 86% and 81% for urban and rural sectors respectively.

(iv) **Features of demographic transition**

- It is a transition from undesirable state of slow growth of population where mortality and fertility rates are high to a desirable state of slow population growth with low fertility and mortality levels.
- The age structure of population has changed from a pyramid shape to a cylindrical shape indicating an increase in old age population as compared to the child population.
- The population in the age group of 60 and above is 11% at present and expected to increase to 16% in 2020 and 29% in 2050.
- There is a decreasing trend for the population in the age group 25-54 which comprises a major portion of the labour force.
- Given their higher life expectancy, females will live longer than males to advanced ages. This is clearly evident where one looks at the gender ratio at advanced ages. It suggests that there will be more widowed women in the old ages.

Economic implications.

- There are important economic implications of demographic transition. The burden of the retirement benefits on the employers would be very heavy. The increase in the recurrent expenditure of the government would be a major threat to the allocation of funds for public investment. This could have an adverse effect on economic growth of the country.
- Government will have to bear a heavy cost to maintain the old age population (Eg. health services)
- Domestic savings could be affected adversely as the old age population will try to maintain their consumption flow using their past savings.

- The increase in dependency ratio would impose an extra burden on the incomes of working population. This will also contribute to reduce the level of savings in the economy.
- The decline in fertility rate could cause a reduction in labour force. This can adversely affect the labour force.
- Physical infrastructure in education will not be required as the number of children below 15 years of age will decrease. These resources can be diverted to improve the quality of education.

10. (i)

Savings - investment gap as a percentage of GDP.

Year	Savings		Investment	Domestic Savings Investment Gap
	Domestic	National		
2010	19.3	25.4	27.6	- 8.6
2011	15.4	22.0	30.0	- 14.6
2014	17.0	24.0	30.6	- 13.7

- (ii)
- To attain higher economic growth Sri Lanka needs to enhance the level of national savings and investment over the medium to long term. With the economy expected to reach a level of over US\$ 4000 per capita before 2016, gross investment needs to rise to above 33% of GDP, from the current level of around 30% of GDP.
 - At present, the savings - investment gap in Sri Lanka is negative and remains around 7 - 8% of GDP. (in 2012, national savings were 24% of GDP and investment was 30.6%)
 - The negative saving - investment gap is reflected on the balance of payments of the country as a deficit in the current account. The financing of the current account deficit would result in increase in external debt and or decrease in external assets.
 - large inflows of external financing could partly bridge the savings - investment gap, although such inflows may lead an appreciation of the domestic currency, eroding external competitiveness.
 - increase in external debt service payments could be an additional burden on the government budget and makes it difficult to achieve fiscal target of 5% budget deficit.
 - Given the resource constraints facing the public sector, further increase in the level of investment from the current level of 30% of GDP to 33% of GDP may not be possible from the government. The local and foreign private investment need to be encouraged by providing a conducive investment climate in the country.
- (iii)
- Tourism sector in Sri Lanka is expected to play a very important role in country's economy in the coming years. Sri Lanka expects 2.5 million tourists arrivals in 2016. There are a number of challenges that Sri Lanka may encounter in developing this sector.
 - We have to create an environment in the country that is conducive for tourism. Sri Lanka needs to develop its image in the major western markets. The global perception matters a lot for a country when it is expected to become a major tourism destination.
 - There is an urgent need for a clear, market driven tourism strategy that directs the future marketing and development for key tourist attractions towards greater diversification and market expansion. The existing approach is primarily supply driven and does not give due recognition to demand trends.

- The room capacity available at present is inadequate to meet the future needs. According to statistics available, if we consider the average stay of a tourist as six nights then there will be a requirement of 40,000 rooms to cater to the demands of two and a half million tourists. With a combined total of 22000 rooms already across the formal and informal sectors, the country require an additional 18,000 rooms.
- A substantial government investment would be required to make tourism area and attractions more accessible and appealing to a wider range of potential tourist segments, i.e. road and railway development and upgrading, airstrip improvements etc.
- There is an urgent need to have trained and skilled manpower with high quality and good customer care attitudes within a short time period.
- (iv) • Recently the terms, good governance and bad governance are being increasingly used in development literatures. Bad governance is being increasingly regarded as one of the root causes of all evil within our societies. Major donors and international financial institutions are increasingly basing their aid and loans on the conditions that reforms that ensure, good governance are undertaken.

Governance means the process of decision-making and the process by which decisions are implemented. Governance can be used in several contexts such as corporate governance, international governance, national governance and local governance.

- Good governance has 8 major characteristics
 - participatory
 - accountable
 - responsive
 - equitable
 - census oriented
 - transparent
 - effective and efficient
 - rule of law

It assures that corruption is minimised, the views of minorities are taken into account and that the voices of the most vulnerable in society are heard in decision making.

- Good governance is a precondition for economic development. The quality of governance plays a vital role in the economic development of countries. The management of public finance is one clear area where governance is of paramount importance. Fiscal consolidation or bringing down budget deficit to a reasonable level is vital for a poor country to avoid inflation find resources for development needs and social welfare expenditure on a priority basis.
- Apart from the public finances there are other important areas of economic activity that is affected by poor governance. Foreign investment is one of them Foreign investors are often discouraged by officials who demand bribes to permit foreign investment in various vital sectors where foreign investment is needed.
- The enforcement of the rule of law and protection of property rights and fundamental rights of citizens have an important bearing on economic development.

All rights reserved

AN ATLAS HALL (PVT) LTD., PUBLICATION